

providers have three size categories: large, mid, and small; and at least two style categories: growth and value. A few have a third style category called core, neutral, or blend.

MORNINGSTAR CLASSIFICATION METHODS

There are several different classification methods published by index providers, and each has its own way of slicing the pie. Morningstar, Inc., in Chicago is a widely respected mutual fund and stock research company. The company has developed a comprehensive strategy for categorizing stocks that includes 97 percent of the U.S. equity market. The system is called the Morningstar Style Box. The nine-box grid divides stocks into three distinct size factors and three valuation factors. See [Figure 6-1](#) for an illustration of the style box methodology. For a complete description of Morningstar's methodology, refer to the classification rulebook at www.Morningstar.com.

One limitation of Morningstar Style Box methodology is that it covers only about 1,600 stocks, thus overlooking more than 3,400 microcap issues that trade on U.S. exchanges. Accordingly, I took the liberty of adding an extra microcap stock portion to the bottom of the Morningstar Style Box in [Figure 6-1](#) to illustrate 99 percent of the entire U.S. equity market, excluding only bulletin-board stocks.

FIGURE 6-1

Morningstar Style Box Methodology with Microcap Added

	Value	Blend	Growth
Large	LV	LB	LG
Mid	MV	MB	MG
Small	SV	SB	SG
Micro	Ultra small		

Morningstar Size Factor

The Morningstar size classification system categorizes companies according to their “free-float” market value. The free-float market value is